

(Cover Page)



ONE A DAY



One A Day  
2017 Operational Plan  
(aka Brand Marketing Plan)  
July 2016

(Theme of Brand Plan)

Lead  
FOR Life



# One A Day Key Takeaways (aka Lessons Learned)

- **Strong business momentum** continues – Led category turnaround and expected to gain share in 2016!
- One A Day's unique portfolio strategy allows the brand to **acquire and retain** consumers by meeting their needs at every life stage
- One A Day requires even more focused plans due to significantly **increased competitive activity** in key areas of strength for the brand
- One A Day will bring news to **drive growth in core** segments (Prenatal, VitaCraves and 50+), and successfully enter the kids market
- Opportunity to **further drive efficiencies** across the brand
  - Simplify brand architecture
  - Drive efficiencies in brand communications
  - Better leverage digital
  - Optimize CP and trade spending
- Identify **further margin improvements** through COGS and pricing actions

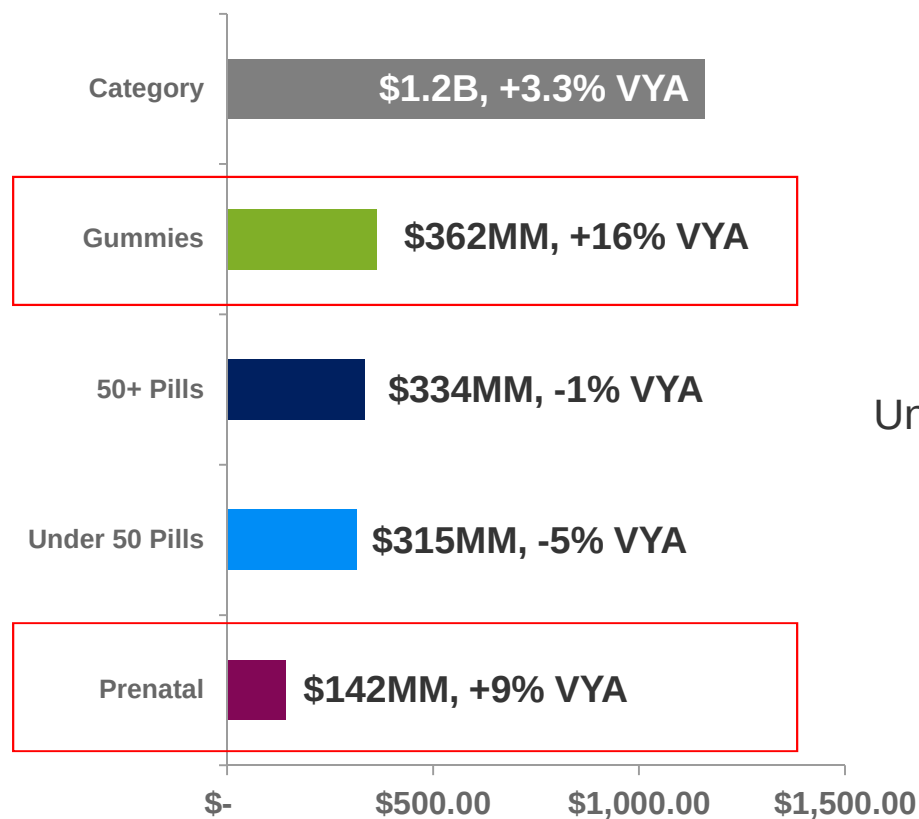


# Category and Competitive Dynamics

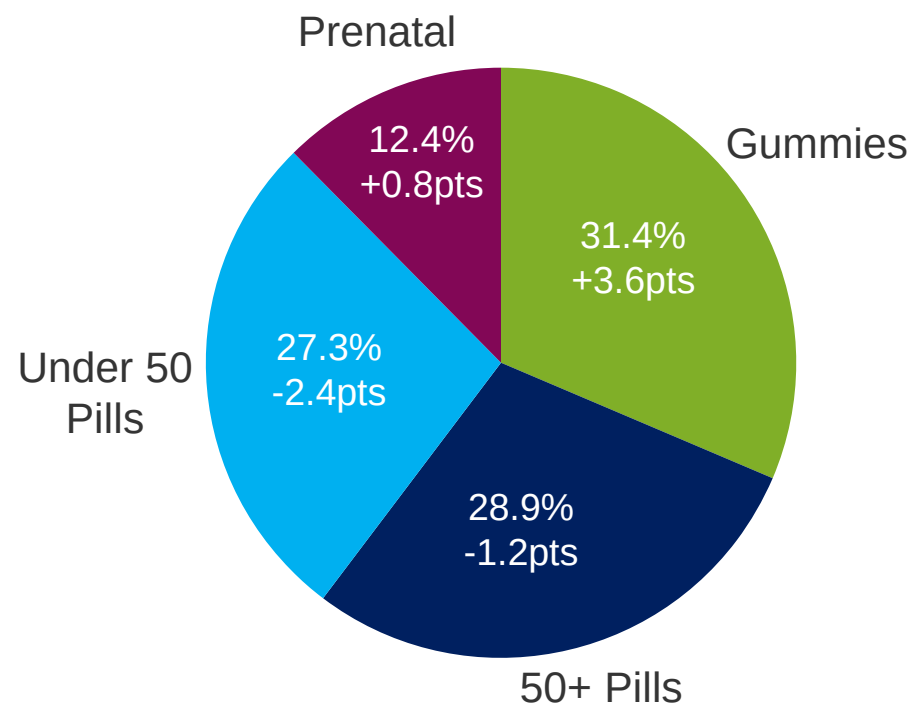


## AMV Growth Driven by Gummies and Prenatal

### Dollar Sales



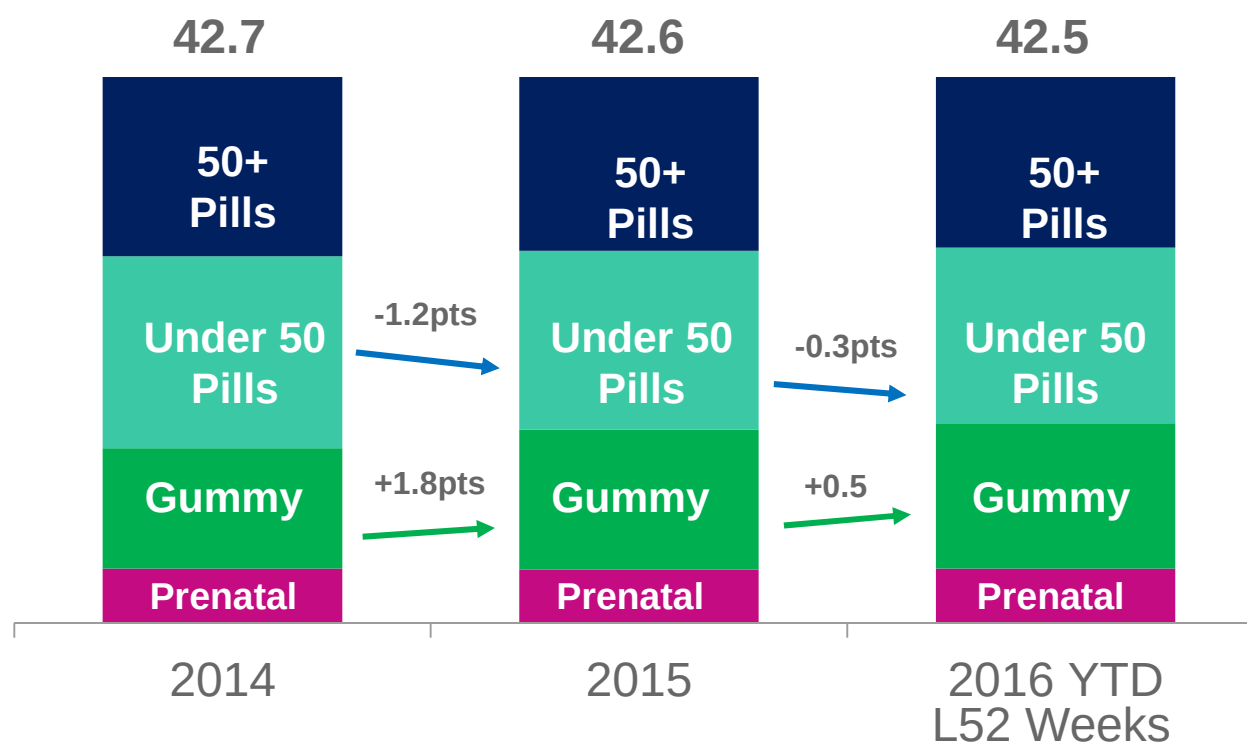
### Dollar Share





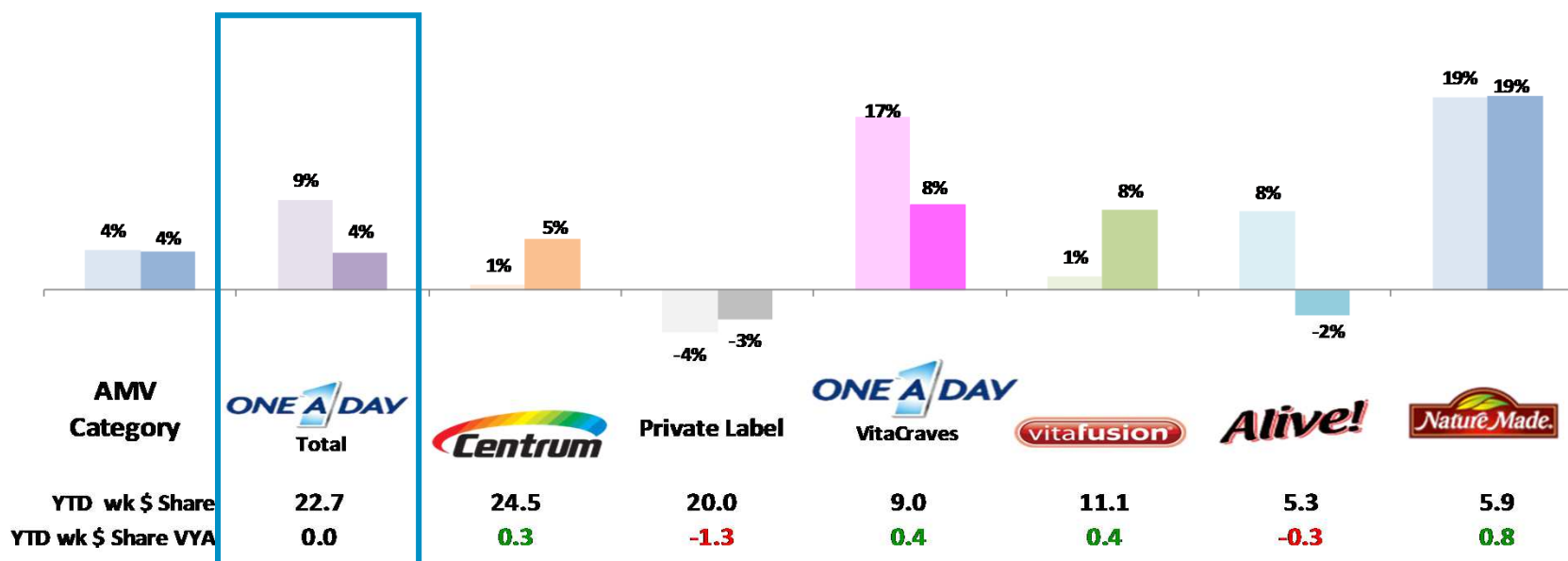
## AMV Penetration Flat with Dynamic Segments

While category penetration has remained flat over past few years, the mix within the category has evolved with gummy penetration increasing and under 50 pill penetration declining.



# Several Brands Driving AMV Category Growth

AMV growth trends: 2015 > YTD



## Category insights

- Competitive pressure intensifying as more brands compete for share of younger gummy consumer
  - Centrum's** aggressive coupon & media spending targeting younger demographic is driving growth
  - Vita fusion** lost share in 2015 due to product supply issues, but has shown substantial growth behind Hair, Skin and Nails item
  - Nature Made's** growth primarily driven by new Women's Gummy (2015 launch) and +9% retail price increase
- One A Day** leveraged key "90% insight" to drive consumers back to the category/brand and continues to drive growth for the brand in 2016

# NPD & Increased Spend Contributing to Growth

80% of category growth coming from new products

News

Promos / Spend



+5.0% YTD

Launching New Products to Attract Younger Consumers



Aggressive Media & CP Spend



YTD 7 FSIs & 17 Coupons (+8)



+8.0% YTD

Expanding into New Segments



High-Value At-Shelf Offers



+19.0% YTD

New Forms



Continued At-Shelf Promos





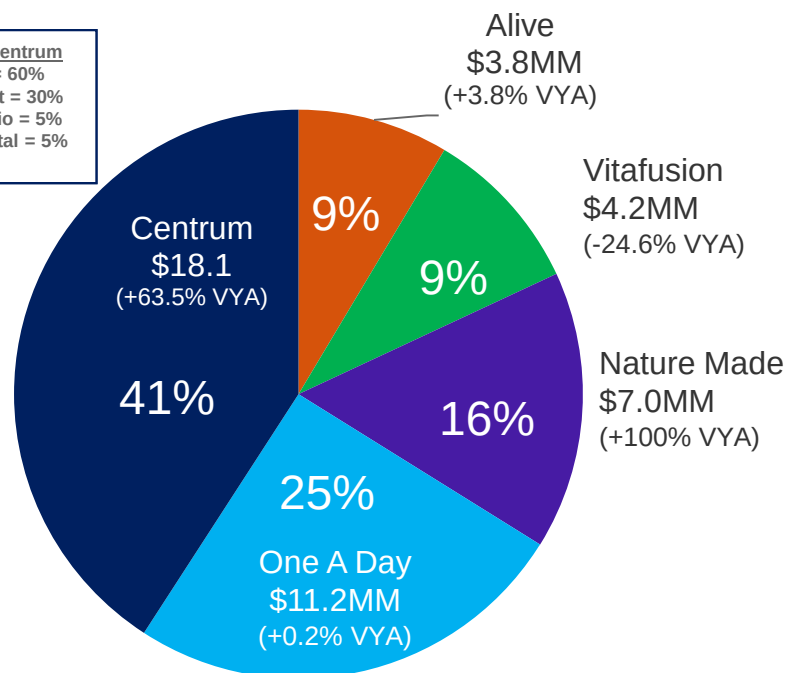
# Aggressive Spend Across Media Channels

- Centrum leads in overall SOS with 41% compared to One A Day at 25%
- Centrum has a more diversified media plan overall, but One A Day spends at similar levels on TV

## Total Media Spend

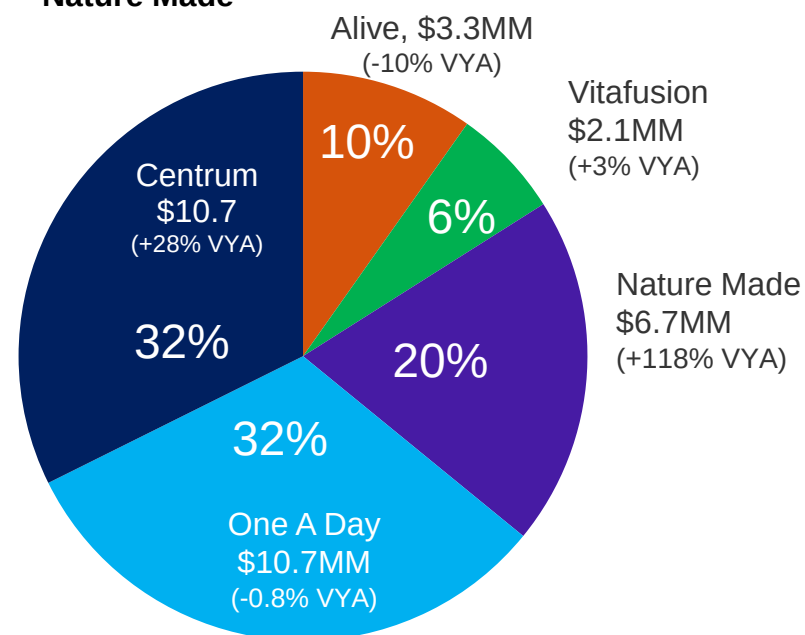
- Category spend is up +23.5% VYA YTD

**Centrum**  
TV = 60%  
Print = 30%  
Radio = 5%  
Digital = 5%



## TV-Only Media Spend

- Category spend up +20% led by Centrum and Nature Made





## Takeaways from Category Environment

- **Gummies** and **Prenatal** are the fastest growing segments in the AMV category
- Competitors are **spending aggressively** & diversifying spend to win in key segments
- **New “news”** (products and claims) is critical and is a driver of overall category growth

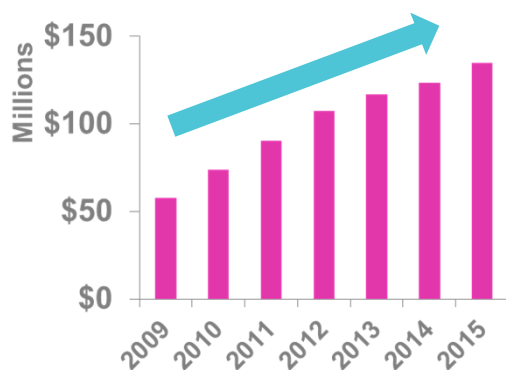


# Segment Dynamics

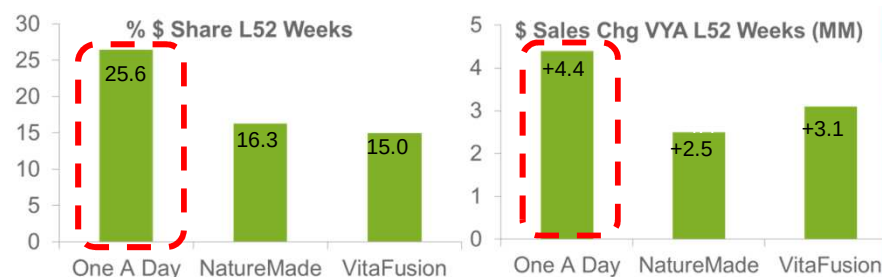


# Prenatal Segment Dynamics

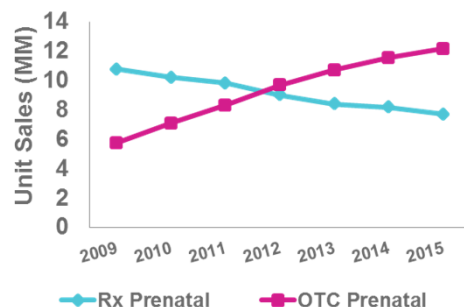
**1** Prenatal Category has grown at a **15% CAGR** in the past 6 years (vs. 3.4% for total Nutritionals).



**2** One A Day Prenatal is the segment leader in sales and growth.



**3** RX to OTC has been a key growth driver and this trend is expected to continue.



**4** The most important time to be on a Prenatal is prior to pregnancy yet most Women are starting later than that.

|          | % Women On Any Prenatal |
|----------|-------------------------|
| Pregnant | 78%                     |
| Trying   | 37%                     |

Opportunity exists for **One A Day** to drive growth by encouraging consumers to **extend usage** by starting 3 months prior to pregnancy





# Under 50 Segment Dynamics

- 1** Gummy is largest segment and the key driver of Under 50 growth. But Under 50 Pills is still sizeable and accounts for 26% of AMV sales.

|                        | \$ Sales (L52 Wks) | % \$ Sales VYA |
|------------------------|--------------------|----------------|
| AMV Under 50 Alt Forms | \$362MM            | 16%            |
| AMV Under 50 Pills     | \$315MM            | -5%            |

- 2** New entrants and increased competitive spend are adding noise to segment.



- 3** The gummy segment inherently experiences a lot of churn

|                     | 2016 Retention |
|---------------------|----------------|
| Adult MV's          | 68%            |
| 50+ MV Pills        | 63%            |
| Under 50 MV Pills   | 63%            |
| Under 50 MV Gummies | 52%            |



- 4** Year over year, One A Day VitaCraves retains only 1/3 of the households who purchase it.

Of Households who bought OAD VC's a year ago:

1/3 ➡ Retained

1/3 ➡ Lost to Other Multivitamins

1/3 ➡ Leave or Lapse the Category

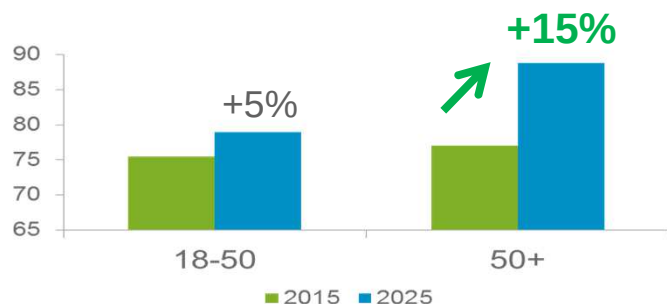
One A Day must ramp up support to win with the gummy user while holding onto existing pill users



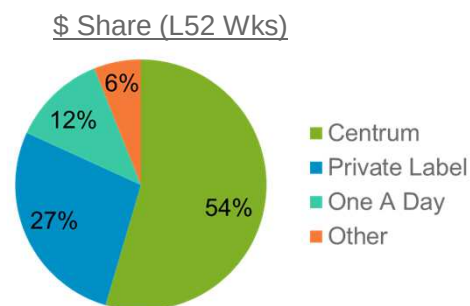


# 50+ Segment Dynamics

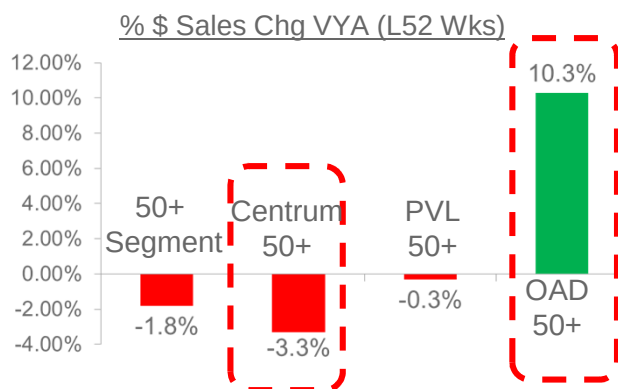
- 1** The **50+** population is expected to be the **fastest growing age group** over the next 10 years.



- 2** It is the **second biggest segment** (29%) and is **dominated by Centrum**.



- 3** Centrum has **shifted focus** to the younger consumer leading to **declines in 50+**.



- 4** Consumers **aged 50 to 60** are interested in **One A Day**, but there is **low awareness** of One A Day **50+ offerings**.

|              | PI (Top 2 Box) |       |
|--------------|----------------|-------|
|              | 50-59          | 60-74 |
| OAD MV's     | 60             | 39    |
| Centrum MV's | 62             | 51    |

|         | Awareness (M/W Ages 50-74) |
|---------|----------------------------|
| Any OAD | 70%                        |
| OAD 50+ | 42%                        |



**One A Day can win against Centrum with 50-60 year olds by building awareness of our offerings**





# Kids Segment Dynamics

**1** There are **three types of Moms** in the Kid's Segment.

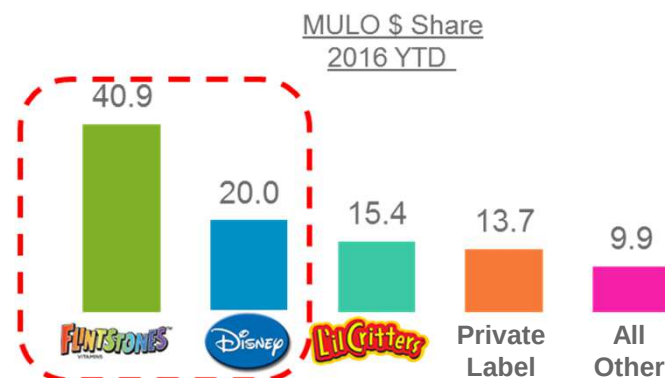
Nutritional Expertise Mom

Kid-First Mom

Value Conscious Mom



**2** Flintstones has strong share but is **not poised** to win with the Kid-First Mom.



**3** Kids is the **only life-stage that OAD doesn't currently play in** and is a gap for the brand.

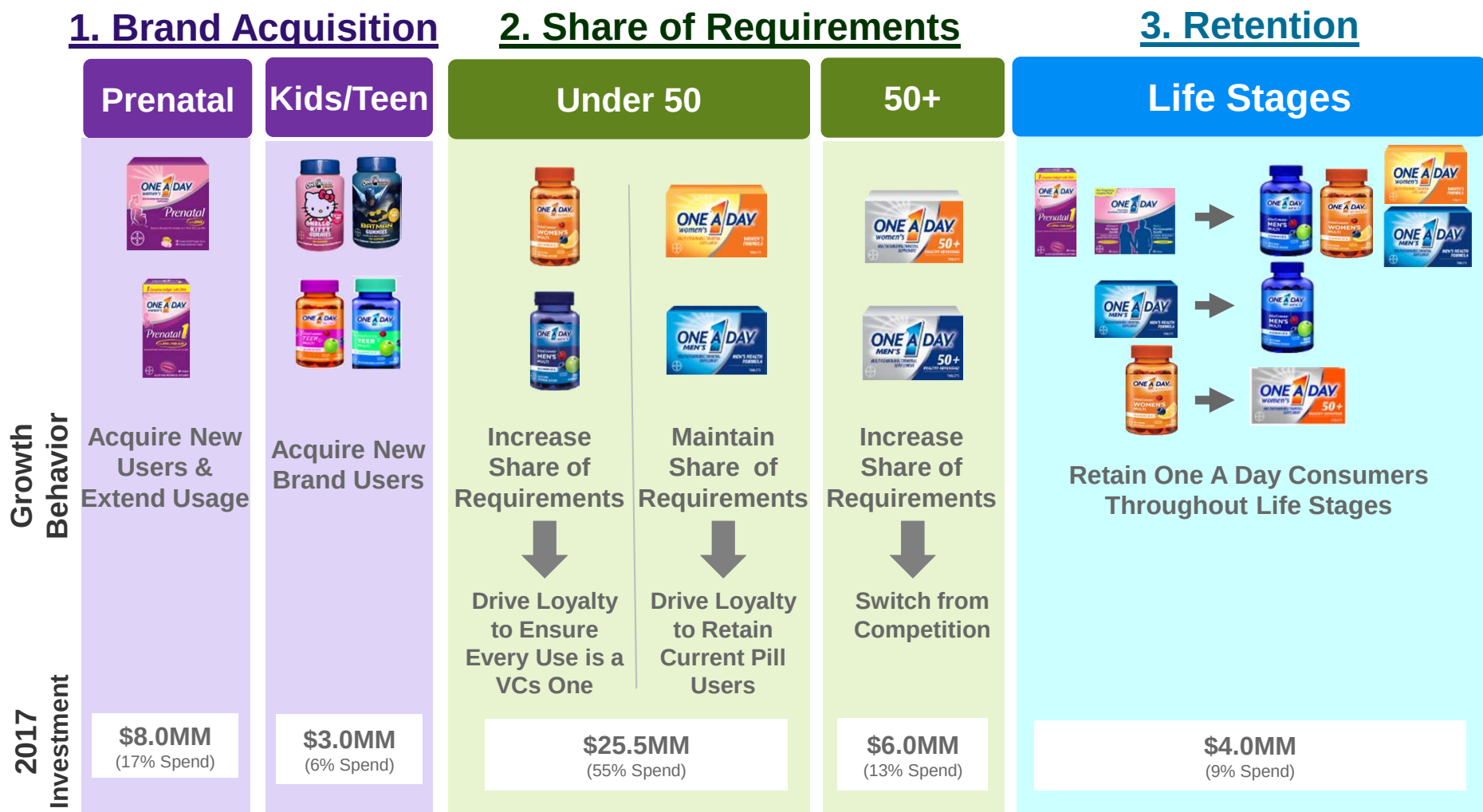


Opportunity exists for One A Day to enter the Kid's space by offering both credibility and character appeal to the **Kid-First mom**



# **One A Day Strategy & 2017 Operating Plan**

# Three Core Priorities Across the Business





# 2017 Objectives & Strategies

**Become undisputed category leader leveraging nutritional expertise & deep consumer understanding**

**FEC: \$281.2 (+4.0%)**

**GSLR: \$289.2 (+0.9%)**

**1**

**Strengthen Affinity for One A Day Brand**

- Evolve Strong Communication Platform Across the Brand
- Bring Brand Purpose to Life Across the Business
- Retain Consumers Through Life-stages with Efficient Tactics to Optimize Lifetime Value

**2**

**Expand Leadership in Prenatal Segment**

- Expand Category into Preconception Starting at Least Three Months Prior to Conception for Both Men & Women
- Leverage TruNatal to Further Address the Discomforts of Pregnancy

**3**

**Grow Strategic Entry Points into Multivitamins**

- Drive Awareness and Trial of One A Day Kids with the Kid-First Mom
- Solidify Leadership to Own Segment in Teen Where No Competition Exists

**4**

**Maximize Share Gains in Under 50 Segment**

- Utilize Simpler Architecture to Create Communication Efficiencies Across Pills & Gummies
- Bring News with Relevant Benefits to Both Pills and Gummies (Hair, Skin & Nails, Muscle)

**5**

**Maximize Relevance for OAD Against Core 50 – 60 Age Group**

- Refresh Core Business by Introducing Relevant and Differentiated Benefits

**6**

**Develop a Continuous Stream of News for 2018 and Beyond**

- Deliver Meaningful Claims, Product Renovations and New Products that Best Target Needs Throughout Consumers' Lives



Prenatal

Kids

Teen

Under 50

50+



# Motivating and Inspiring Purpose



***Helping you do more to  
thrive your way***





# Deep Understanding of Consumers and Challenges

**ONE A DAY** is for:

**Those who want to take responsibility for their health and the health of those they care about**



I want to do what I can to give my baby the healthiest start, but because this is new I'm continually looking for information.



I want to optimize my child's growth and development, but that often fights with what they want.



I'm committed to embracing my daily responsibilities, but I need to take care of myself everyday to deliver on my priorities.



I want the freedom to enjoy life to the fullest and to be myself but I need to be proactive so my age doesn't catch up with me.



# One A Day Franchise Architecture



Helping You Do More to Thrive Your Way

## Ensuring the Best Start for My Baby



Nutritional products that help Mothers-to-Be feel confident that they are making the best choices for their health and the health of their baby.



## Optimizing My Child's Development With Delight



Products that combine nutritional support, with a focus on maximizing development, and targeted youth appeal.



## Balancing My Daily Responsibilities



Products that provide nutritional support for you, so you can embrace your responsibilities to others.



## Maximizing Life Unrestricted by Age



Nutritional products to help you stay ahead of the effects of aging, freeing you to live life to the fullest.



# Evolution of Strong Communication Platform

2015



"90%" focused messaging launched in 2015, resulting in tremendous growth and reversed trends.

2016



The campaign was refreshed in 2016 with:

- Better connection to the target within the insight
- Better connection between the insight and benefit

2017



New Articulation of the claim –  
"9 out of 10 Fall Short."  
Consumers resonated with this finding it clear, logical and powerful.

## Consumer reaction to new "9 out of 10" claim:

"I MAY BE ONE OF THE 9 AND I NEED TO MAKE BETTER DECISIONS."

"9 OUT OF 10 IS SHOCKING."

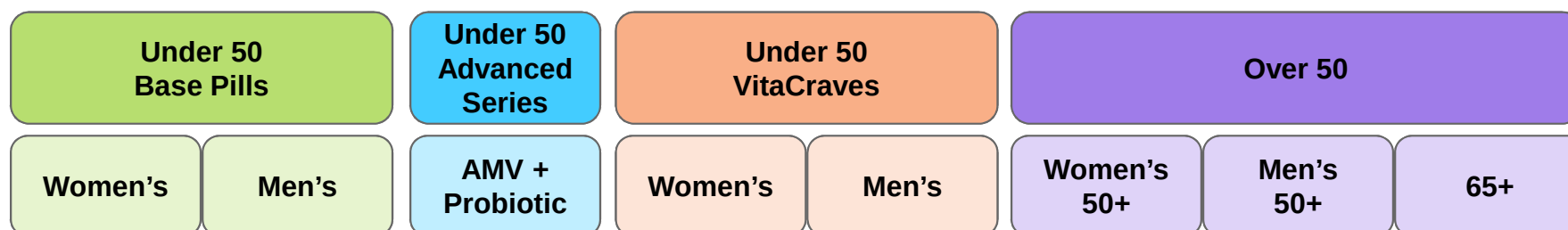
"The message is clear: even if you eat right you still may not be getting enough nutrients – OAD can give you what you need"



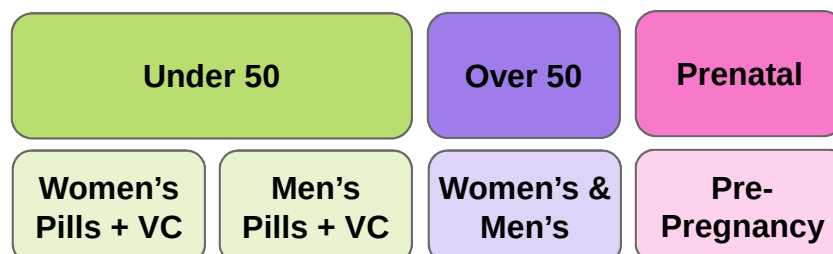


# Consolidated TV Communication Plan

Consolidated messaging allows for a more efficient, effective and diversified media plan to strengthen affinity for One A Day brand



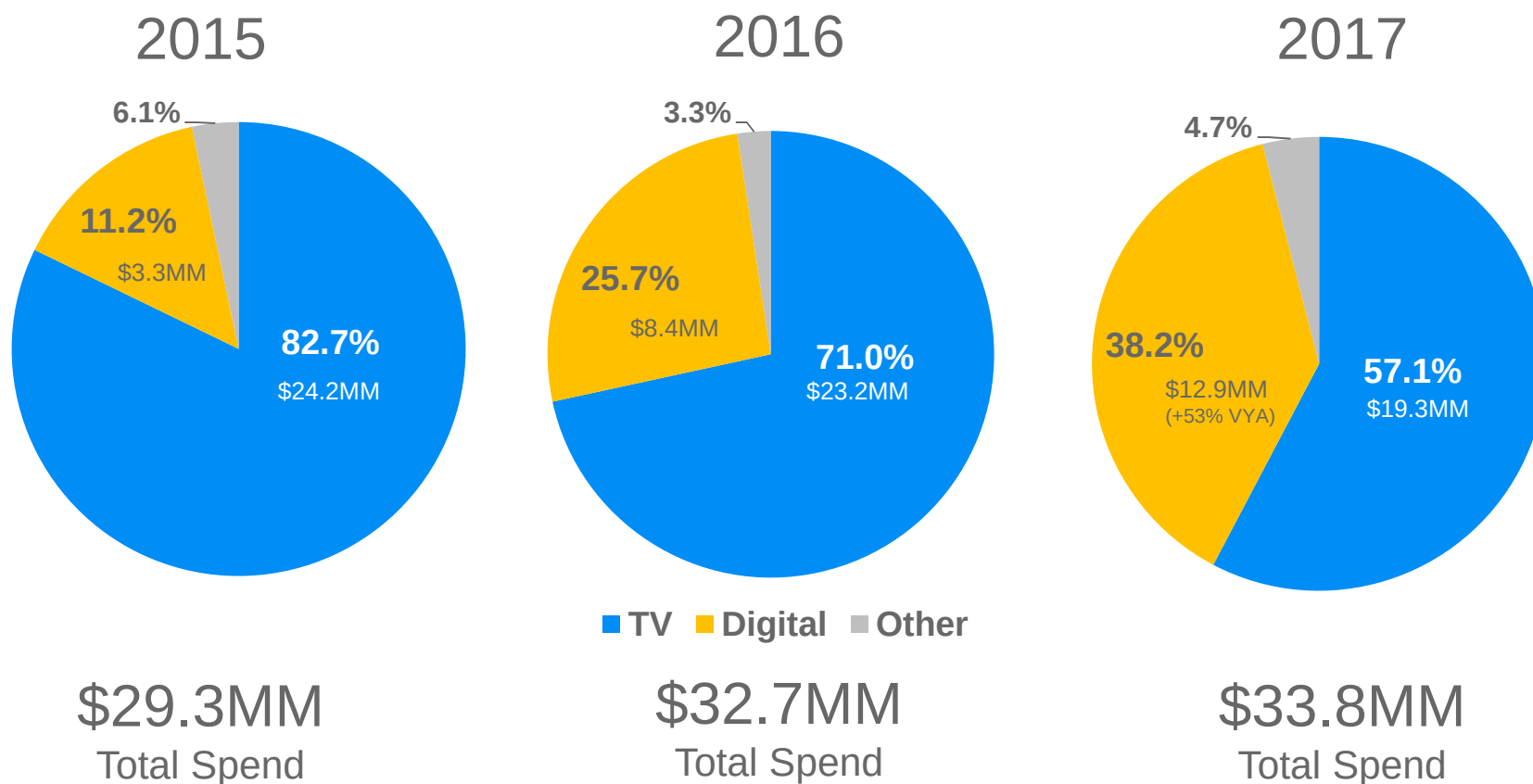
2017 TV Communication  
Springboard 3.0 – Evolution of 90% Messaging





# Evolution of Diversified Media Strategy

- To better reach One A Day targets across brand segments, One A Day will continue to diversify its media investment and shift more dollars into digital in 2017



# Retain Consumers through Life-Stages

## Customer Relationship Management Program

Develop CRM program with Prenatal to start meaningful connection and communication with consumers via promoting content tailored to life stages



## Drive Brand Retention with Efficiency



In-Pack Coupons



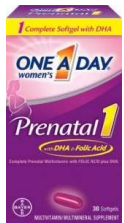
In-Pack Coupons for One A Day Kids



Catalina



Bonus Packs for Better Value



Prenatal

Kids

Teen

Under 50

50+



# Prenatal Strategy

Starting Early and Meeting Her Needs Throughout



- There are **almost as many** women who are **“Trying”** to become pregnant **as** there are women **Currently Pregnant**.

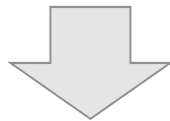
3.3MM

Women  
Pregnant

2.7MM

Women  
Trying

- This is the **most important time** for a Women to be taking a Prenatal **yet only 37% of women who are trying do so**.
- Recent studies suggest **Men’s Pre-Conception Health** is important for pre-pregnancy.

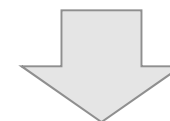


Bring In New Users and  
Extend Usage  
By Getting **Couples** to  
Start Using Pre-Pregnancy



Build the Basket with **Loyal Brand Consumers** by  
addressing the discomforts  
of pregnancy

- Prenatal Consumer** is extremely **Brand Loyal**. **84% of women** stay on the same Prenatal brand throughout pregnancy.
- One A Day is the only major player offering a range of products to address the **discomforts she experiences throughout pregnancy**.



# JumpStart Launch

Quickly Drive Mass Awareness & Encourage Trial



**Pre-Pregnancy TV  
Burst (4 Wks) to Ramp  
Up Awareness**



**Pre-Pregnancy PR  
Education &  
Advocacy Program**



**IRC's  
at Launch to Drive  
Immediate Trial**



Bayer HealthCare

# Digital

## Tailored Messaging to Target Her at the Right Time



Tailored  
Messaging

Support  
Pre-Pregnancy Health  
Together



Address Her  
Discomforts During  
Pregnancy



Targeted  
Reach

Search Engine  
Optimization



Smart Target  
OLV / Banner Ads



Media Partnerships  
with Relevant Sites



# Key Influencers

## Win with the Voices that Matter to Her



HealthCare  
Providers

3 Waves of **Doctor**  
**Sampling & Sell**  
Sheets



**Point of Care**  
**Television**



**Exam Room**  
**Posters &**  
**Brochures**



Social  
Influencers

**Social Influencer/  
Blogger Program**



**Promoted**  
**Facebook Posts**





Prenatal

Kids

Teen

Under 50

50+



# Kids/Teen Strategy

Bring New Users into the Franchise at Strategic Life Stages



- Kids is currently the **only key life stage** that OAD does not play in.



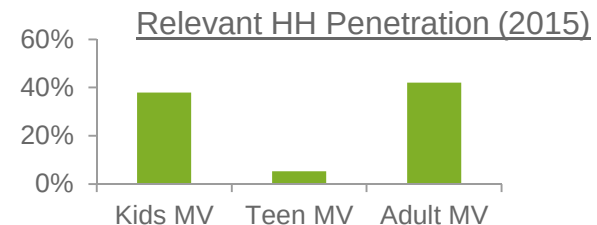
- A unique **opportunity** exists to leverage the **credibility** of the OAD brand combined with the excitement of **kid pleasing** characters to appeal to the “**Kid First**” Mom.



**Bridge OAD's Life-Stage Gap by Entering Into the Kids Segment and Winning with “Kid-First” Mom**



- Teen** is the **fastest growing segment** (\$16MM; +25% VYA). **OAD** owns this market (**94% share**) with no dedicated support.
- Household penetration** of Teen MVs is **very low** with significant **upside potential**.
- Key target for Teen** is the **One A Day mom** (OAD Teen buyers are **14X more likely** to be a OAD VitaCraves Shopper).



**Grow the Underdeveloped Teen Segment by driving Awareness of Teen Among Moms who buy OAD**

# Smart Investment

Seize Both Opportunities with an Efficient Support Plan



Promotional  
Scale &  
Efficiency

**Kids**

**Teen**

Targeted  
Initiatives

**Combined Kids/Teen  
Back to School Drive  
Period**



**Leverage Existing  
Women's VitaCraves  
Users to Drive Brand  
Acquisition**



**Increase Reach by  
Leveraging OAD  
Promotional Tactics**



**Teen**

**Add Dedicated Digital  
Media with New Claims  
to Enhance Appeal**



**Kids**

**Leverage Movie  
Partnerships and  
Digital Media to Build  
Awareness and  
Connection with Families**





Prenatal

Kids

Teen

Under 50

50+



# Under 50 Strategy

## Retaining the Younger Consumer



Intense Competitive Environment  
Tailored to Younger Consumer



New Gummy Entrant



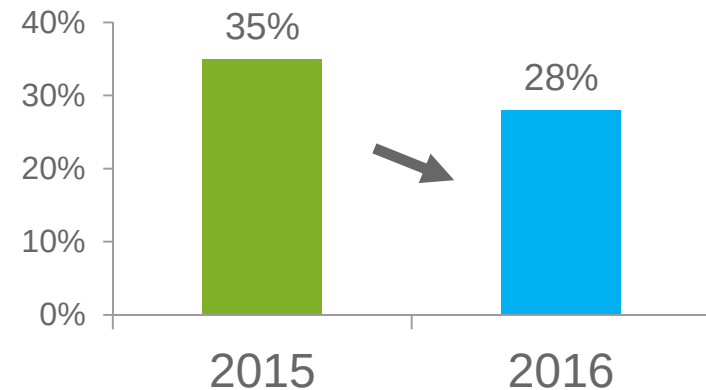
"Trendy" Benefits



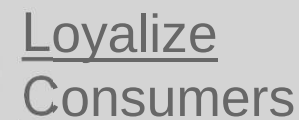
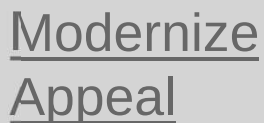
Modern Packaging

One A Day Retention is Dropping  
Within Younger Target

Under 50 Retention for VitaCraves



**One A Day** needs to change how we go to market in order to remain relevant and loyalize younger consumers



**BONUS 20 MORE GUMMIES**

**ONE A DAY**  
WOMEN'S

**VitaCraze® WOMEN'S MULTI GUMMIES**

100% GUARANTEED  
WITH 100% VITAMIN D3  
AND 100% VITAMIN E

170 GUMMIES

**ONE A DAY**  
MEN'S

**MEN'S HEALTH FORMULA**

120 GUMMIES

**BONUS**

The infographic consists of two rows of icons and text. The top row has an orange background and the bottom row has a blue background. Each icon is white and represents a specific health benefit.

|                                                                                   |                                                                                   |                                                                                   |                                                                                   |                                                                                   |
|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
|  |  |  |  |  |
| BONE HEALTH                                                                       | HEART HEALTH <sup>1</sup>                                                         | IMMUNE HEALTH                                                                     | PHYSICAL ENERGY                                                                   | SKIN HEALTH                                                                       |
|  |  |  |  |                                                                                   |
| HEART HEALTH <sup>1</sup>                                                         | IMMUNE HEALTH                                                                     | PHYSICAL ENERGY                                                                   | HEALTHY BLOOD PRESSURE                                                            |                                                                                   |

Two bottles of One A Day gummies are shown side-by-side. The bottle on the left is blue and labeled 'ONE A DAY MEN'S VitaCraves® MEN'S MULTI GUMMIES'. It features a blue cap and a label with images of various fruits and vegetables. The bottle on the right is orange and labeled 'ONE A DAY WOMEN'S VitaCraves® WOMEN'S MULTI GUMMIES'. It features an orange cap and a label with images of various fruits. Both bottles indicate they contain 250 gummies and are 'NATURAL POLYMER SUGARFREE SUPPLEMENT'.

From the #1  
Men's & Women's  
Multivitamin  
Brand

**SAVE \$1.00**  
on any TWO (2) One A Day  
VitaCraves® products  
(100 ct. or larger)

The image shows two bottles of One A Day VitaCraves gummy vitamins. The bottle on the left is blue and labeled 'MEN'S', featuring a green apple. The bottle on the right is orange and labeled 'WOMEN'S', featuring a pink strawberry. Both bottles are made of clear plastic and have their respective brand names and product types clearly visible on the labels.

**Delicious gummies specially formulated for men & women**

# Digital

Tailored Messaging at the Right Place at the Right Time



2016

*“Traditional”*



Static / Animated Banner Ads



Online Video

Spend  
**\$3.4MM**

2017

*“Targeted & Personalized”*



Dynamic Banner Ads



Spotify / Online Radio



Full Episode Players / OLV



Social

Spend  
**\$8.0MM**  
+135% VYA





Prenatal

Kids

Teen

Under 50

50+



# 50+ Strategy

Drive Relevance with 50 – 60 Year Olds



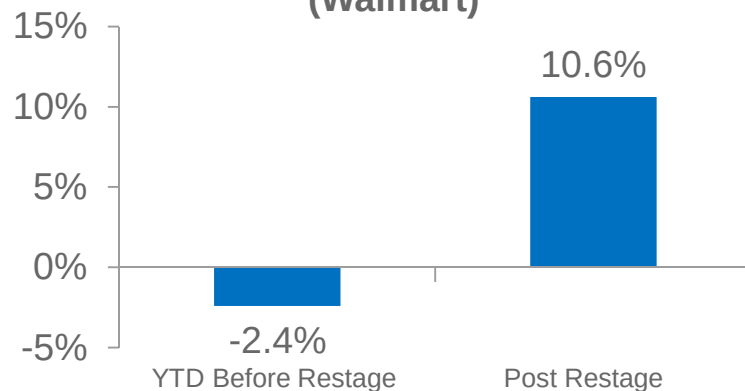
2016

## *Leveled The Playing Field*

*Increased competitive attractiveness by improving value on large size 50+*



**2016 YTD Results Large Size 50+ (Walmart)**



2017

## *Build Credibility*

*Increase credibility with 50 – 60 year olds by leveraging new, relevant benefits*

*“100% of the Daily Value for 15 Key Nutrients”*

*“Now with Choline for Brain Health”*



# Drive Switch

Refresh Core Business to Build Credibility with 50+ Target



Leverage  
New Claims

**Combine Men & Women 50+ on TV**



**Contextual and Behavioral Digital Targeting**



**Update Packaging to Communicate New Claims**



Appeal to Value  
Conscious Target

**Offer Incentives During Boomer Drive Period**



**Leverage Citracal to Drive Cross-Purchase**



**Provide At-Shelf Offers to Drive Trial**

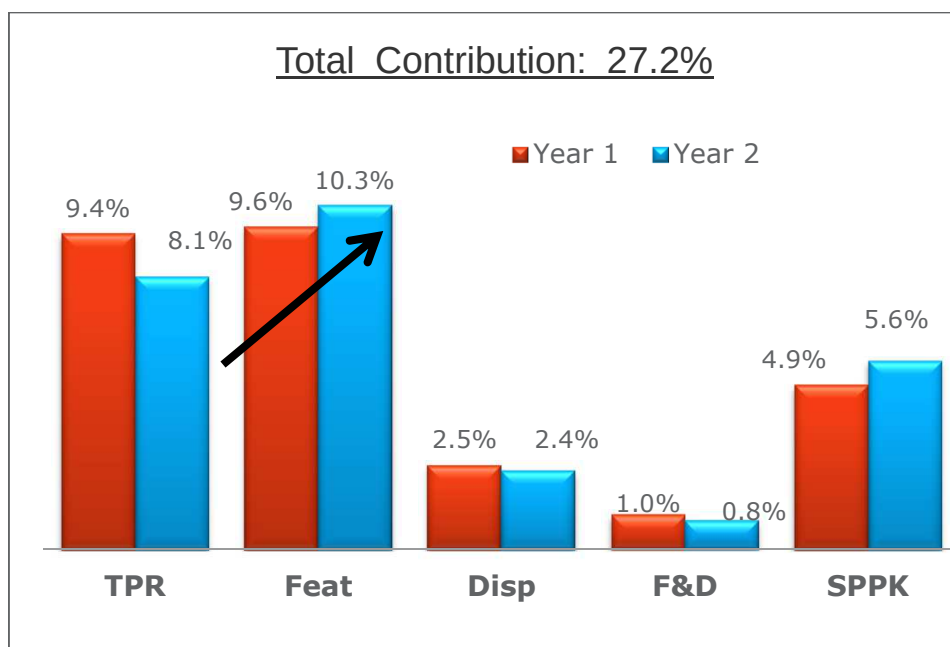




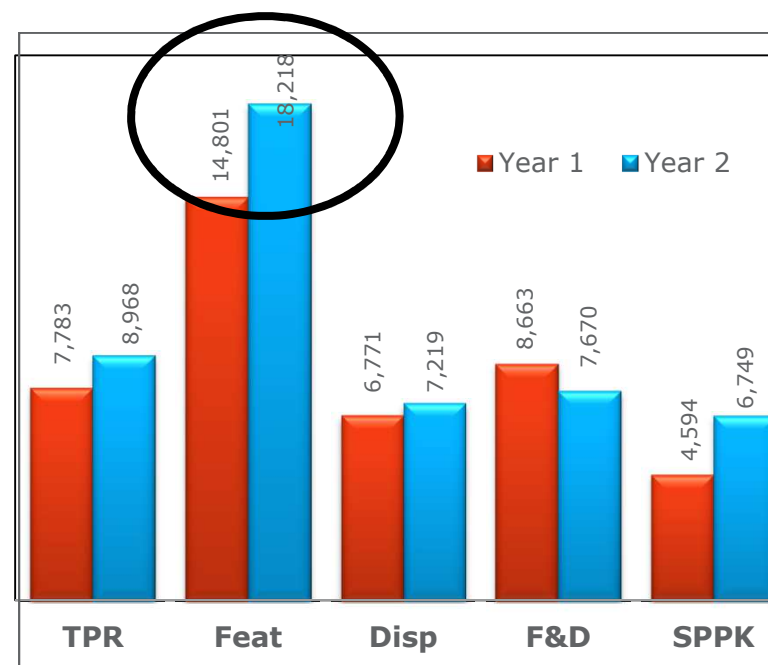
# Trade is Critical to Growing Market Share

- Trade DPC remains strong (\$1.32) and contributes significantly to OAD volume (27%)
- Fueled by TPR and gains in Feature support

**Trade Contribution**  
*% of Volume Sales*



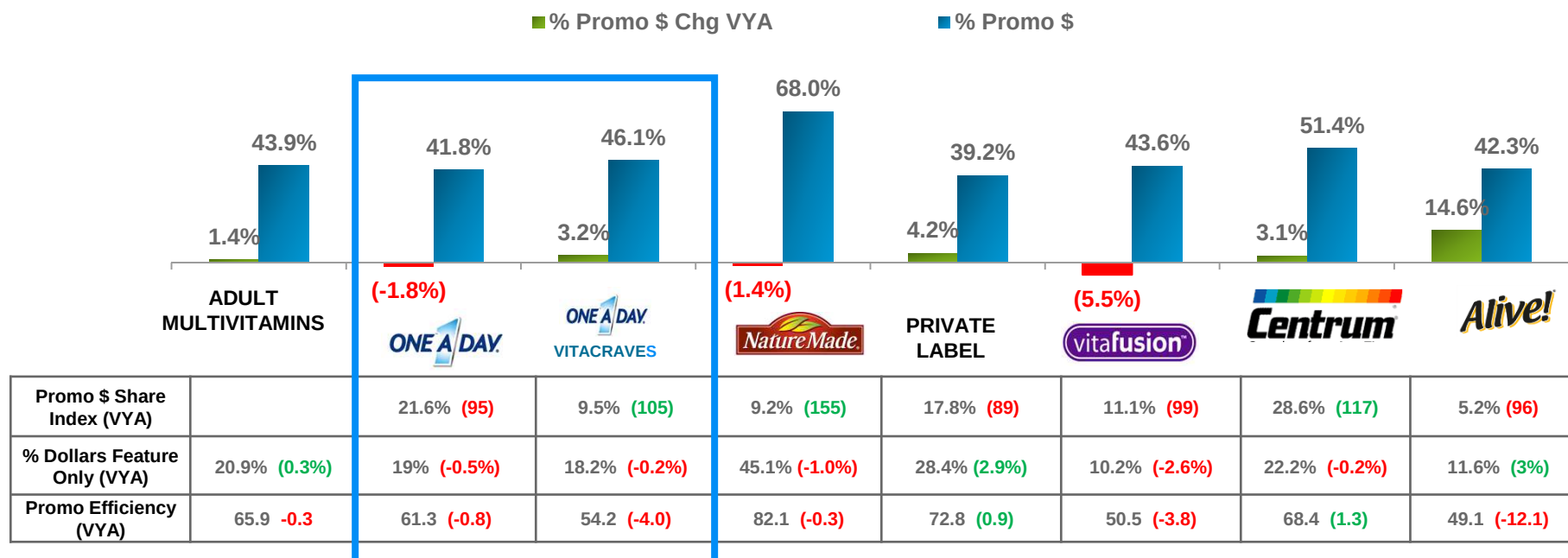
**Trade Effectiveness**  
*Volume (000) Per WOS – Any Merch*





# One A Day Not Getting Fair Share of Promotions

## YTD Promotional Dollar Trends



## Key Promotional Learnings

Category promotional dollar gains VYA driven by One A Day, VitaCraves, Private Label, Centrum and Alive

- **One A Day** promotional share and efficiency down VYA, driven primarily due to reduced support at WalMart (Beats report)
- **One A Day VitaCraves** share gain VYA boosted by increased bonus pack support (new January program)
- **NatureMade** is most promotionally dependent (68%), yet lost support despite ongoing BOGO Free events & new items
- **Private Label** declines due reduced PL items in Mass (YTD: Walmart -3 items, Target -3 items)
- **Vitafusion** down VYA, despite new item launches, 'Try Me Free' at shelf IRCs (\$15 value) & aggressive price points in Food
- **Centrum** promotional share gains driven by new product launches and higher FSI values (\$4, YTD 7 FSIs)



# Trade Objective and Strategies

**Become undisputed category leader leveraging nutritional expertise & deep consumer understanding**

## Drive Growth in Core Segments

- Close Significant ACV Gaps
  - Prenatal
  - Teen
  - 50+
- Win Fair Share+ of Quality Merchandising
  - Leverage portfolio in drive periods
  - Win January 2017
  - Feature optimization
- Utilize retailer assets to communicate “news” and benefits
  - “9 out of 10”
  - Women’s Hair/Skin/Nails
  - 50+ Brain
- Further Optimize POGs

## Drive Innovation Trial & Awareness

- Partner earlier with strategic retailers to drive future innovation
- Launch items with appealing margins for Bayer & retailers
- Execute launch with excellence:
  - Strategically align Marketing & Trade programming to improve speed to market
  - Key account support to build trial & awareness
  - Inclusion in Drive Periods

## Solidify Leadership Role with Retailers

- Leverage breadth of portfolio and leadership to influence retailers
  - Innovation, Investment & Insights
- Utilize insights & solutions to influence category direction
- Platform & category research
- Leverage leadership position to win in whitespace opportunity segments





# Improving Promotional Effectiveness & Efficiencies

## Incorporate Feature Optimization Learnings

- Optimal Feature Performance; picture 3 Items
- Promote One A Day and TruBiotics Together
- Prioritize Women's VC in Drug Features
- Challenge to picture Prenatal due to base size



Based on Feature Optimization Study (2016)

## Activate Against Strategic Drive Periods

- Simplified to Six Drive Periods with Tool Kits
- Win More Than Fair Share of Merchandising Support Across Class of Trade
- Execute Consistent Messaging with Retailers

From

33  
Funding  
Priorities



To

6  
Core Drive  
Periods



# **Future Innovation**

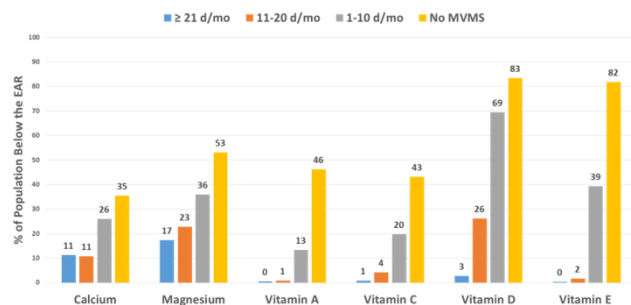
# News for the Core

## Exploring New Claims and Reformulations



### New 90%

Use new **NHANES** data to develop ownable claims about **positive impact of MV usage**



### DHA

Reformulate Prenatal SKUs and develop new news around higher **DHA** levels



### 100% DV

Reformulate/Re-label across SKUs for a high number of nutrients at **100% of new DVs**

**100%**  
Daily Value



Key Nutrients

### Free Of

Add “Free Of” claims across existing formulations



# New Product Launches

Exploring New Product Innovation Within Key Growth Areas



## Near Term

## Further Out

### Gummies



Fruit & Veggie



Sleep, Stress  
and Mood



Blue Light and  
Eye Defense

### Prenatal



Prenatal  
Probiotics



Natural  
Positioning



Stomach  
Comfort

# Supplements

## Exploring a New Approach Under One A Day



### The Idea:

#### One A Day Stackables

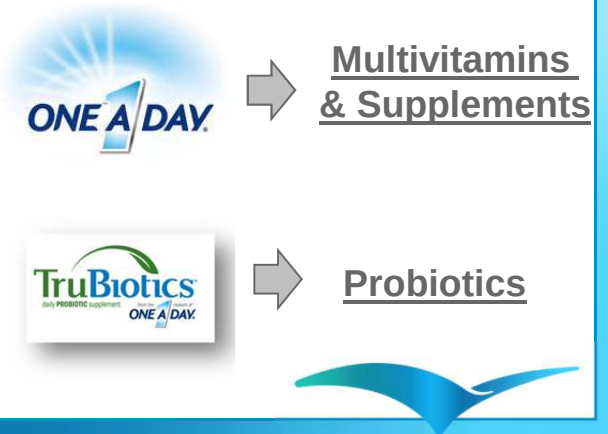
Collections of Supplements under the One A Day brand targeted to address the multiple benefit needs of a specific One A Day Pillar



### The Inspiration:



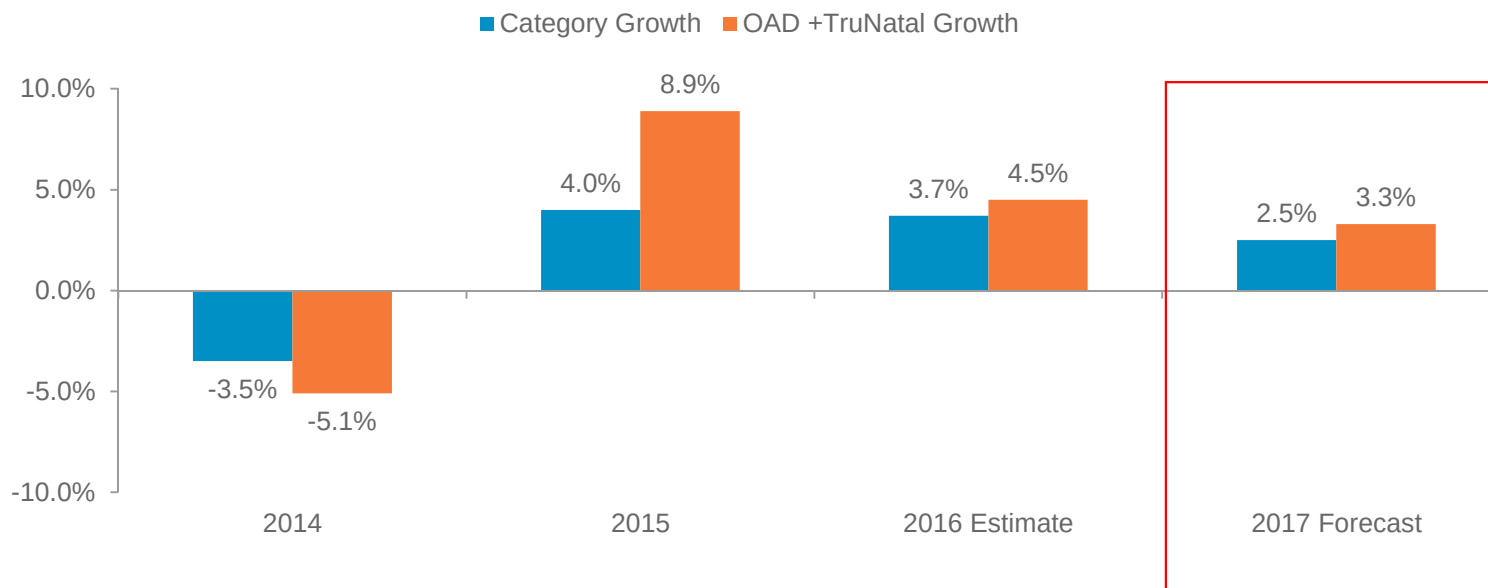
### The Implication:



# **One A Day Financials**



## OAD Will Continue to Outpace Category Growth

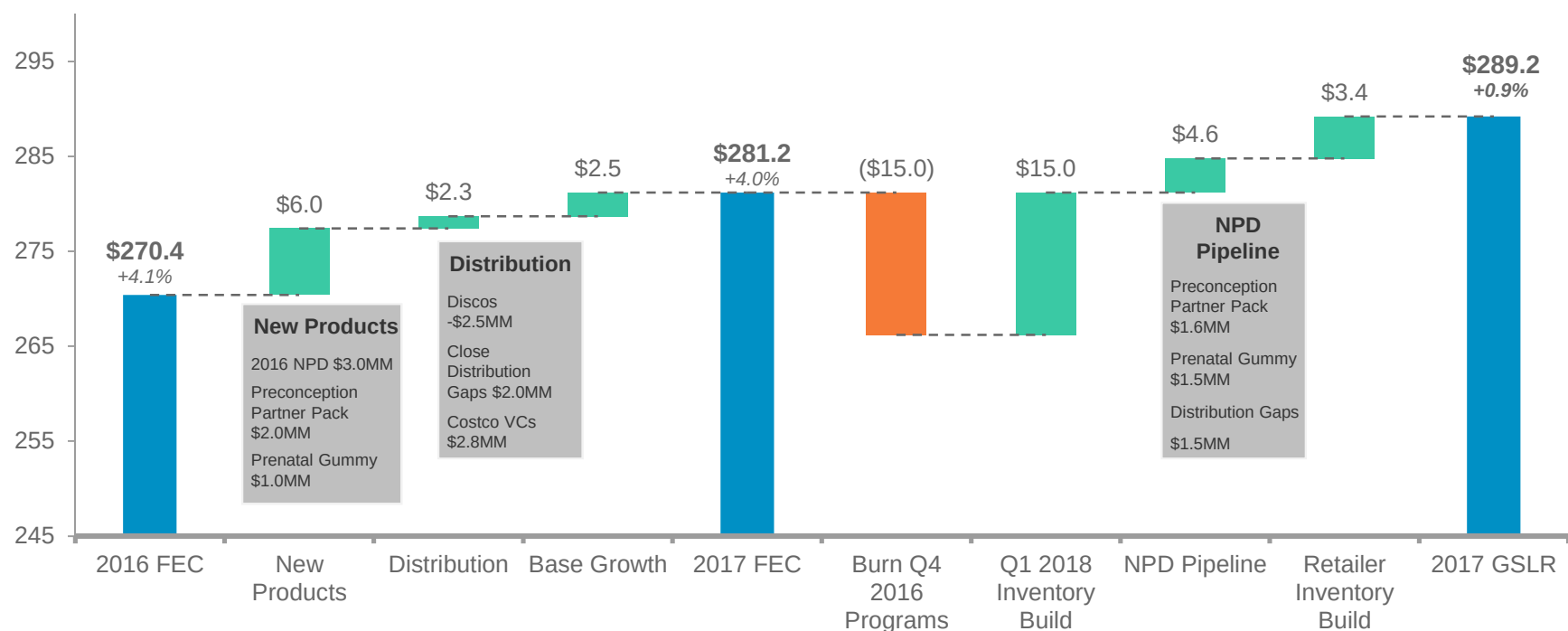


### 2017 Category Assumptions

- Category expected to grow more slowly in 2017 due to significant investment behind new product launches in 2016 (Centrum Gender Gummies and Vitamins, Vitafusion HSN, Olly, Nature Made)
- Segments driving growth are Gummies +18.9% and Prenatal +8.6%



# 2017 Financial Building Blocks



## Opportunities

- Category Growth Acceleration (3.5% vs. 2.5%) = +\$2.0MM
- Incremental "Win January 2018" Program (+\$1.5MM)
- Full distribution on VC Men's at Costco (+\$2.5MM)
- Full distribution on Prenatal at Costco past Dec (+\$2.0MM)
- Incremental "Big Push" behind Prenatal (+\$2.0MM)

## Risks

- VC Women's Doesn't Meet Thresholds in Costco (-\$2.2MM)
- Continued Aggressive Competition in Gummies (-\$3.0MM)



# 2017 Financial Goals

|                           | 2016 FC2       |              | 2017 StraCo    |               | 2017 Plan      |               | 17 Plan vs Straco |              |
|---------------------------|----------------|--------------|----------------|---------------|----------------|---------------|-------------------|--------------|
|                           | US\$           | VYA / % S/s* | US\$           | VYA+ / % S/s* | US\$           | VYA^ / % S/s* | \$ Chg            | % Chg        |
| Category Sales            | \$1,191        | 3.7%         | \$1,211        | 2.5%          | \$1,221        | 2.5%          | \$ 9.4            | 0.8%         |
| Retail Sales              | \$272          | 4.5%         | \$294          | 4.7%          | \$281          | 3.3%          | \$ (12.5)         | -4.3%        |
| Share                     | 22.9%          | 0.2          | 24.3%          | 0.5           | 23.0%          | 0.1           | (1.3) share pts   |              |
| <b>FEC</b>                | <b>\$270.4</b> | <b>4.1%</b>  | <b>\$289.2</b> | <b>3.6%</b>   | <b>\$281.2</b> | <b>4.0%</b>   | <b>\$ (8.0)</b>   | <b>-2.8%</b> |
| Inventory                 | \$16.2         | \$ 6.4       | \$15.3         | \$ 1.0        | \$8.0          | \$ (8.2)      | \$ (7.3)          |              |
| <b>GSLR</b>               | <b>\$286.5</b> | <b>6.3%</b>  | <b>\$304.5</b> | <b>3.8%</b>   | <b>\$289.2</b> | <b>0.9%</b>   | <b>\$ (15.3)</b>  | <b>-5.0%</b> |
| Gross Sales               | \$292.5        |              | \$311.4        |               | \$295.1        |               |                   |              |
| Returns / ARP             | \$5.9          | 2.0%         | \$6.9          | 2.2%          | \$5.9          | 2.0%          | \$ (1.0)          | -14.8%       |
| Alliance Rev.             | \$0.0          | 0.0%         | \$0.0          | 0.0%          | \$0.0          | 0.0%          | \$ -              |              |
| <u>Allowances</u>         | \$42.1         | 14.7%        | \$39.9         | 13.1%         | \$40.3         | 13.9%         | \$ 0.4            | 1.1%         |
| Cash Discounts            | \$6.3          | 2.2%         | \$6.9          | 2.3%          | \$6.4          | 2.2%          | \$ (0.5)          | -7.1%        |
| Other Discount/Allowances | \$2.1          | 0.7%         | \$1.0          | 0.3%          | \$2.5          | 0.9%          | \$ 1.5            | 140.4%       |
| Coupon Redemption         | \$5.2          | 1.8%         | \$3.2          | 1.1%          | \$3.2          | 1.1%          | \$ (0.0)          | -1.5%        |
| CPF                       | \$28.4         | 9.9%         | \$28.7         | 9.4%          | \$28.2         | 9.8%          | \$ (0.5)          | -1.7%        |
| <b>Net Sales</b>          | <b>\$244.5</b> | <b>8.5%</b>  | <b>\$264.6</b> | <b>4.2%</b>   | <b>\$248.9</b> | <b>1.8%</b>   | <b>\$ (15.7)</b>  | <b>-6.0%</b> |
| <b>P&amp;I</b>            | <b>\$46.7</b>  | <b>19.1%</b> | <b>\$55.1</b>  | <b>20.8%</b>  | <b>\$50.3</b>  | <b>20.2%</b>  | <b>\$ (4.8)</b>   | <b>-8.7%</b> |
| <b>BMI</b>                | <b>\$118.3</b> | <b>48.4%</b> | <b>\$126.3</b> | <b>47.7%</b>  | <b>\$119.2</b> | <b>47.9%</b>  | <b>\$ (7.1)</b>   | <b>-5.6%</b> |





# COGS Improvement of 1.7pts from 2015 to 2017

| OAD + TruNatal P&L               |                |                     |           |                     |                 |                     |
|----------------------------------|----------------|---------------------|-----------|---------------------|-----------------|---------------------|
| (\$ in Mil)                      |                |                     |           |                     |                 |                     |
|                                  | 2015 Actual FY |                     | FC2 FY    |                     | 2017B Prelim FY |                     |
| Gross Sales Before Returns       | \$             | 273.4               | \$        | 292.5               | \$              | 295.1               |
| Returns                          | \$             | 2.3 0.8%            | \$        | 4.1 1.4%            | \$              | 4.1 1.4%            |
| ARP/Swell                        | \$             | 1.7 0.6%            | \$        | 1.9 0.6%            | \$              | 1.8 0.6%            |
| <b>GSLR Less ARP</b>             | <b>\$</b>      | <b>269.5</b>        | <b>\$</b> | <b>286.5</b>        | <b>\$</b>       | <b>289.2</b>        |
| Cash Discounts                   | \$             | 6.2 2.3%            | \$        | 6.3 2.2%            | \$              | 6.4 2.2%            |
| Other Discounts                  | \$             | 3.2 1.2%            | \$        | 2.1 0.7%            | \$              | 2.5 0.9%            |
| Coupon Redemption                | \$             | 3.5 1.3%            | \$        | 5.2 1.8%            | \$              | 3.2 1.1%            |
| CPF                              | \$             | 31.3 11.6%          | \$        | 28.4 9.9%           | \$              | 28.2 9.8%           |
| <b>NET SALES</b>                 | <b>\$</b>      | <b>225.3 100.0%</b> | <b>\$</b> | <b>244.5 100.0%</b> | <b>\$</b>       | <b>248.9 100.0%</b> |
| Broker Expense                   | \$             | 1.0 0.4%            | \$        | 0.8 0.3%            | \$              | 1.0 0.4%            |
| Freights                         | \$             | 3.7 1.6%            | \$        | 4.2 1.7%            | \$              | 3.9 1.6%            |
| License Fees/Royalties           | \$             | - 0.0%              | \$        | - 0.0%              | \$              | - 0.0%              |
| Standard Cost - Variable         | \$             | 56.7 25.2%          | \$        | 59.5 24.3%          | \$              | 72.0 28.9%          |
| Standard Cost - Fixed            | \$             | 16.5 7.3%           | \$        | 16.1 6.6%           | \$              | - 0.0%              |
| <b>Total COGS (Local)</b>        | <b>\$</b>      | <b>73.2 32.5%</b>   | <b>\$</b> | <b>75.7 30.9%</b>   | <b>\$</b>       | <b>72.0 28.9%</b>   |
| <b>Total COGS (Consolidated)</b> | <b>\$</b>      | <b>68.9 30.6%</b>   | <b>\$</b> | <b>72.3 29.6%</b>   | <b>\$</b>       | <b>72.0 28.9%</b>   |

## Two Key Strategic COGS Initiatives:

1. Reduction in VitaCraves COGS due to negotiations with Amapharm which resulted in 4% reduction, effective 1/1/2017
2. Bringing news to 3 existing items (new benefits) while holding cost of goods



# Key P&I Drivers

| \$MM                       | 2016<br>FC2 | % Chg<br>vs 2015 | 2017<br>Plan | % Chg<br>vs 2016<br>FC2 | \$ Chg vs<br>FC2 | Commentary / Rationale                                                                                           |
|----------------------------|-------------|------------------|--------------|-------------------------|------------------|------------------------------------------------------------------------------------------------------------------|
| Trade (CPF)                | 28.4        | -9.1%            | 28.2         | -0.7%                   | \$ (0.2)         | Maintain same level of trade support as trade is effective and efficient driver of sales for brand               |
| Coupon Redemption          | 5.0         | 42.3%            | 3.2          | -36.0%                  | \$ (1.8)         | Eliminate 1 FSI to drive efficiencies, and remove high-value coupon values from plan                             |
| Market Research            | 1.5         | -7.7%            | 1.5          | 2.1%                    | \$ 0.0           | Understand market, consumer and brand dynamics to inform plans                                                   |
| Market Development         | 0.8         | -8.0%            | 0.8          | 0.0%                    | \$ -             | Includes support for new product development, and integration of brand purpose into all brand marketing channels |
| <b>P&amp;I</b>             |             |                  |              |                         |                  |                                                                                                                  |
| Media (Net \$)             | 32.7        | 11.7%            | 33.8         | 3.4%                    | \$ 1.1           | Broaden media mix to more efficiently and effectively reach target audience - major focus on digital             |
| Media Commission           | 4.7         | -4.4%            | 5.0          | 7.5%                    | \$ 0.3           | Tied directly to media spend                                                                                     |
| Ad Production              | 2.6         | 10.4%            | 2.3          | -12.5%                  | \$ (0.3)         | Decreasing production spend due to fewer number of spots needed                                                  |
| Internet                   | 0.8         | 152.4%           | 1.6          | 107.8%                  | \$ 0.8           | Require incremental funds VYA to support more comprehensive digital media buy                                    |
| Medical: Total             | 1.8         | 121.4%           | 2.0          | 9.0%                    | \$ 0.2           | Increase to support greater reach with sampling and new communication vehicles in waiting room                   |
| Consumer Promotion         | 2.0         | -1.1%            | 3.3          | 65.0%                   | \$ 1.3           | Additional funding to be leveraged to support activation programs and development of CRM with digital agency     |
| Public Relations           | 0.4         | 76.0%            | 0.4          | 0.0%                    | \$ -             | Ongoing media relations and influencer support                                                                   |
| Package Design             | 0.4         | 50.9%            | 0.4          | -2.3%                   | \$ (0.0)         | Design work for ongoing packaging updates                                                                        |
| Trade Promo (Displays Exp) | 1.4         | 3.5%             | 1.5          | 6.2%                    | \$ 0.1           | All costs associated with creating and developing displays for account teams for in-store OAD promotions         |
| Misc: Brand Exp            | 0.0         | -100.0%          | 0.0          | #DIV/0!                 | \$ -             |                                                                                                                  |
| <b>Total P&amp;I</b>       | <b>46.8</b> | <b>12.8%</b>     | <b>50.3</b>  | <b>7.5%</b>             | <b>\$ 3.5</b>    |                                                                                                                  |



# One A Day Key Takeaways

- **Strong business momentum** continues – Led category turnaround and expected to gain share in 2016!
- One A Day's unique portfolio strategy allows the brand to **acquire and retain** consumers by meeting their needs at every life stage
- One A Day requires even more focused plans due to significantly **increased competitive activity** in key areas of strength for the brand
- One A Day will bring news to **drive growth in core** segments (Prenatal, VitaCraves and 50+), and successfully enter the kids market
- Opportunity to **further drive efficiencies** across the brand
  - Simplify brand architecture
  - Drive efficiencies in brand communications
  - Better leverage digital
  - Optimize CP and trade spending
- Identify **further margin improvements** through COGS and pricing actions





## Next Steps

- Work with appropriate brand lead to update / finalize activation strategies and tactics for 2017
- Update timing and costs for tactics
- Work with cross-functional team to input draft of budget into CME “budget” spreadsheet
- Begin working on 2017 programs and tactics

